

SUPERSTORE BUSINESS PERFORMANCE

Executive Summary Report

AnalystLab Africa — Week 2 Data Analytics Internship

Analysis Period: 2014–2017 | Tool: Microsoft Power BI

1. EXECUTIVE SUMMARY

The analysis of Superstore sales data from 2014 to 2017 indicates a generally positive business performance characterized by substantial revenue and profit growth. Across the four-year period, the business generated approximately \$2.0M in sales, \$286K in profit, and approximately 5,000 orders. Average sales per transaction were approximately \$230, while the overall profit margin stood at 12.5%.

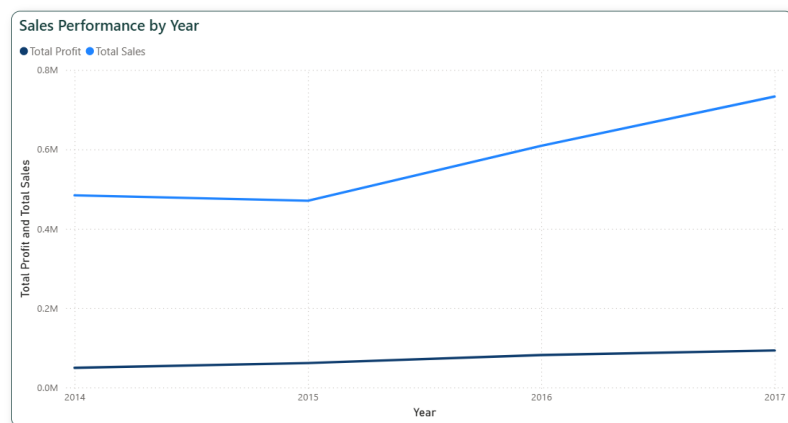
Sales increased from approximately \$484K in 2014 to \$733K in 2017, representing approximately 51% growth. Profit increased from approximately \$50K to \$93K over the same period. Although 2015 experienced a slight decline in sales compared with 2014, profitability improved significantly, with profit increasing from approximately \$50K to \$62K and profit margin rising from 10.2% to 13.1%. The strongest overall performance occurred in 2017, which recorded the highest sales and profit during the period.

However, the analysis also identified areas requiring management attention, including geographic concentration, negative profitability in specific product subcategories, and concentration of performance around certain product categories.



2. KPI SNAPSHOT

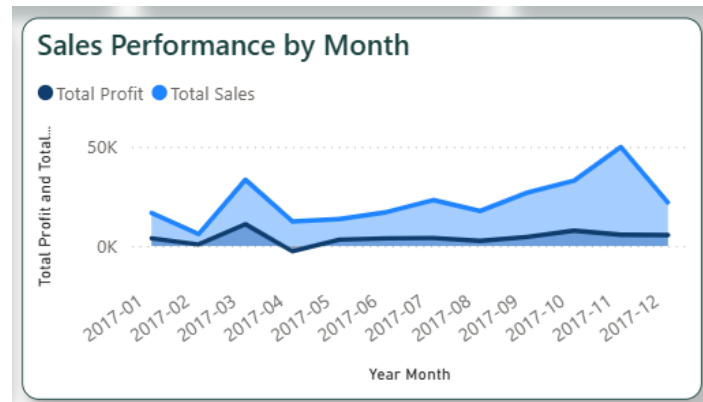
The company demonstrates a healthy overall relationship between sales and profitability, with approximately \$286K generated in profit from \$2M in sales. However, aggregate profitability can conceal underperforming products, which is why the product-level analysis is important.



3. SALES & PROFITABILITY TREND

Yearly results: 2014 — Sales \$484K, Profit \$50K, Margin 10.2%; 2015 — Sales \$471K, Profit \$62K, Margin 13.1%; 2016 — Sales \$609K, Profit \$82K, Margin 13.4%; 2017 — Sales \$733K, Profit \$93K, Margin 12.7%. The strongest growth occurred from 2015 onward. Sales increased by approximately 55% between 2015 and 2017, while profitability also improved. The profit margin increased from 10.2% in 2014 to 13.4% in 2016 before slightly declining to 12.7% in 2017.

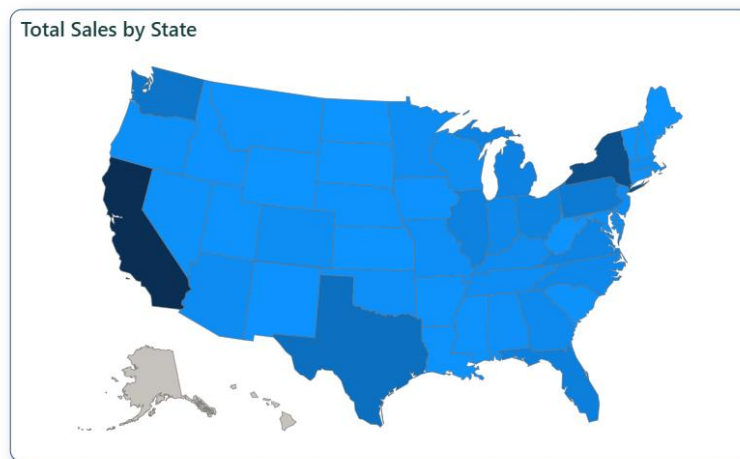
Management implication: Continue pursuing growth while monitoring the slight margin compression observed in 2017 to ensure increasing sales continue to translate into sustainable profitability.



4. SEASONAL SALES PATTERN

Sales generally strengthen between August and December, with a recurring slowdown around October. This pattern provides an opportunity to align inventory, promotional activity and marketing resources with periods of stronger demand.

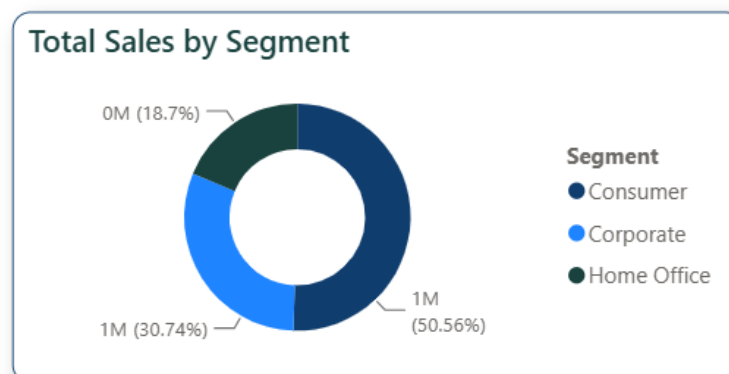
Management can prepare inventory ahead of peak demand, increase marketing activity before the stronger sales period, plan promotional campaigns strategically and ensure sufficient operational and logistical capacity. The analysis does not establish that discounts should automatically be concentrated in these months; promotional decisions should also consider their effect on profit margins.



5. REGIONAL PERFORMANCE

The West region frequently demonstrated the strongest sales and profitability performance, although the East region led performance in 2015. California is particularly significant, contributing approximately \$458K of the approximately \$2M in total sales, or roughly 23% of overall sales.

California is therefore an important market to protect, while its concentration also represents a risk. A significant reduction in demand in California could materially affect overall company revenue. At the same time, the performance of other regions demonstrates opportunities to expand the revenue base geographically.



6. CUSTOMER SEGMENT PERFORMANCE

The Consumer segment was the largest contributor to sales during the period. Its share was 54.95% in 2014, 56.65% in 2015, 48.73% in 2016 and 45.27% in 2017. Although Consumer remained the largest segment, its contribution declined substantially after 2015.

This may indicate increasing contribution from other customer segments and presents an opportunity to further diversify the customer base. Management should investigate the growth of Corporate and Home Office segments and determine whether targeted acquisition strategies could accelerate their contribution.

Category	Sub-Category	Total Sales	Total Profit	Profit Margin
Technology	Phones	330007	44516	13.5%
	Machines	189239	3385	1.8%
	Accessories	167380	41937	25.1%
	Copiers	149528	55618	37.2%
	Total	836154	145455	17.4%
Furniture		742000	18451	2.5%
Office Supplies		719047	122491	17.0%
Total		2297201	286397	12.5%

7. PRODUCT & CATEGORY PERFORMANCE

Technology was the most consistently strong category across the period, frequently leading both sales and profitability. Several technology and office-related subcategories also performed strongly, including Phones, Copiers and Accessories, with Binders also performing strongly in 2016.

The business should prioritize consistently profitable products in inventory planning, promotional campaigns and product availability. However, it should avoid excessive reliance on a narrow group of products because changes in demand, competition or supply conditions could affect overall performance.

8. PRODUCT PROFITABILITY CONCERN

One of the most significant findings is the repeated negative profitability observed for Tables and Bookcases. This indicates that certain products may be generating revenue while simultaneously reducing overall profitability.

Possible causes include high supplier costs, excessive discounting, low selling prices, shipping or fulfillment costs and inefficient pricing strategies. Management should conduct a product-level profitability review before deciding whether to replace suppliers. Alternative suppliers may be appropriate, but pricing, discounts and logistics costs should also be investigated to identify the actual cause of negative margins.

9. DISCOUNT ANALYSIS & DATA VALIDATION

The raw Discount field in Power Query ranges from 0 to 0.8, consistent with discount rates from 0% to 80%. Unusually high values previously observed in the treemap were caused by aggregation of discount values across multiple records, rather than actual discounts exceeding 100%. Those values should therefore not be interpreted as actual discount percentages.

If discount analysis is retained, the recommended approach is to use Average Discount by Product rather than Sum of Discount. A stronger claim about the relationship between discount and sales would require a scatter plot and/or correlation analysis.

10. FIVE KEY BUSINESS INSIGHTS

1. Strong long-term growth. Sales increased from \$484K in 2014 to \$733K in 2017, while profit increased from \$50K to \$93K.
2. Sales are concentrated toward the latter part of the year. Sales generally increase between August and December, with October showing a recurring slowdown.
3. The West is a consistently strong region. The West frequently records the highest sales and profit, while California contributes approximately \$458K of total sales.
4. Technology is the most consistent category performer. Technology repeatedly performs strongly in both sales and profit, with Phones, Copiers and Accessories among notable contributors.
5. Revenue growth hides product-level profitability problems. Despite a healthy overall 12.5% profit margin, Tables and Bookcases frequently generate negative margins.

11. THREE BUSINESS RISKS

1. Product profitability: Persistent negative margins on Tables and Bookcases could erode overall profitability.
2. Geographic concentration: California accounts for approximately 23% of total sales, creating exposure to a downturn in that market.
3. Product concentration: Strong performance is concentrated around particular categories and subcategories, creating potential exposure if demand or supply conditions change.

12. THREE BUSINESS OPPORTUNITIES

1. Seasonal optimization: Use the stronger August–December period to improve inventory planning and strategically time marketing campaigns.
2. Geographic expansion: Develop targeted campaigns in lower-performing regions to diversify revenue and reduce dependence on the strongest markets.

3. Customer diversification: The decline in Consumer's share from 56.65% in 2015 to 45.27% in 2017 suggests an opportunity to further develop other customer segments.

13. MANAGEMENT RECOMMENDATIONS

1. Conduct a profitability review of Tables and Bookcases, including supplier costs, selling prices, discounts and fulfillment costs.
2. Diversify regional revenue through targeted marketing campaigns in lower-performing regions.
3. Protect the California market through customer retention while simultaneously investing in other geographic markets.
4. Plan strategically for seasonal demand by preparing inventory and marketing campaigns ahead of the August–December period.
5. Prioritize high-performing products and categories such as Technology, Phones, Copiers and Accessories in inventory and promotional decisions.
6. Introduce discount profitability analysis so promotions are evaluated using both sales uplift and profit-margin impact.

14. CONCLUSION

The Superstore analysis demonstrates a business with strong overall growth and improving profitability between 2014 and 2017. The most significant opportunities lie in leveraging seasonal demand, expanding weaker geographic markets, strengthening high-performing product categories and improving the profitability of underperforming products.

At the same time, management should monitor geographic and product concentration and ensure that future sales growth continues to translate into sustainable profit.